AnyCompany Retail Finance Policy: Budget Variance Reporting

Purpose

This policy sets how departments report variances between actual spend and budget in the AnyCompany Retail profit and loss (P&L) workbook. It applies to every department and every fiscal quarter.

Definitions

Operating expense (opex) is every account in the P&L workbook except Revenue and Cost of Goods Sold.

Controllable spend is the total of the Contractors, Travel, Software and Marketing Programs accounts. Salaries and Facilities are operating expense but are not controllable spend.

The approved budget for a department and fiscal quarter is the original budget in the Budget sheet of the P&L workbook, unless the close memo for that quarter approves a budget revision for the department. An approved revision is added to the original budget for that department and quarter only. A requested revision that was not approved does not change the budget.

Variance is actual operating expense minus the approved budget, for one department and one fiscal quarter. Variance percent is the variance divided by the approved budget.

Commentary threshold

A department must write variance commentary for a fiscal quarter when its variance percent is more than 5 percent over or more than 5 percent under its approved budget. Spending less than budget counts the same as spending more. A variance of exactly 5 percent does not need commentary.

When the variance percent is more than 10 percent over or under, the CFO, Nikki Wolf, also reviews the commentary.

Process

The department head writes the commentary. The Controller, Martha Rivera, approves it within 10 business days after the close memo for the quarter is issued.

Versions

Only the final P&L workbook named in the close memo is used for variance reporting. Workbooks marked as a draft hold preliminary numbers and are not used.